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Survey started by demonstrating that until 1750 AD, that is, for three-quarters of known economic history, India accounted for at least one-third of world GDP. While some critics argue that such prosperity stemmed from India's higher population even then, this argument misses the point that populations endogenously moved to areas that offered economic prosperity. After citing this important piece of evidence, the Survey posed the question: Could such economic dominance have been an accident or was it the result of a well thought out economic model? After posing the question, the Survey provided evidence citing India's literature that indeed India's economic prosperity stemmed from pursuing ethical wealth creation as its economic mantra.

This model of persuasion that relied on India's own experience is crucial to understand. Imagine a politician trying to convince the common person on the street saying "We should pursue policies enabling the private sector because Adam Smith said so!" The common person will respond "Adam Smith who?" And then retort back "Why are you westernising India and destroying our age-old culture and traditions?" It is this dynamic that possibly led to reforms by stealth. In contrast, think about the following conversation between the common person and the politician: "Do you know that India was a *sone*

ki chidiya because philosophers like Kautilya and Thiruvalluvar advocated wealth creation and enabled private enterprise." The common person would possibly say "Oh! Is that so?" and is likely to engage better when compared to the dismissive stance he would pursue when wealth creation is advocated by appealing to Adam Smith and his descendants.

This aspect is crucial for India to recognise as we move towards India@100. Economic policy in any democracy can never depart from politics. And convincing the common person about the wisdom of an economic policy is an extremely critical element of the politics behind an economic policy. As India moves ahead towards becoming a wealthy nation in 2047, it must avoid cut-pasting economic policies from the West and design indigenous policies that are rigorously conceptualised keeping in mind our culture and our economic realities.

In this context, to enhance economic freedom in the economy, it is important that governments keep out of business. Investments in businesses by the private sector create jobs, innovation, and economic growth. In contrast, involvement by the government in business creates bureaucracy, red-tapism and inefficiency. A key role of the government, therefore, must be to undertake reforms to usher in economic freedom

and expand the scope of the private sector. To enable India to emerge as a top-three economic power in the world by 2047, India is now boldly jettisoning anachronistic ideologies about the large and pervasive role of the state as the provider of employment and producer of goods. In many spheres of the economy, controls still proliferate thereby inhibiting both growth and citizens' welfare. Reforms to dismantle them are being undertaken to not only enhance growth but also enable citizens' ease of living.

The reforms that India has implemented post-Covid-19 articulate this pivotal change in the country's economic thinking. These include, inter alia: (i) Government of India's enterprise policy focussed on enabling the private sector, under which the government will remain in a select few sectors and that too with only a handful of public-sector enterprises; and (ii) opening up of several sectors to competition including defence production, mining, power distribution, and cartography. India's economic policy now aims to strengthen the invisible hands of the market by promoting pro-business policies to (i) provide equal opportunities for new entrants, enable fair competition and ease of doing business; (ii) eliminate policies that undermine markets through government intervention even where it is not necessary; (iii) enable trade for job creation, especially in the organised sector; and (iv) efficiently scale up the banking sector to be proportionate to the size of the Indian economy.

Given the grounding of the economic change towards wealth creation in India's polity, I am confident India@100 will be a developed economy with per-capita GDP greater than \$11,000. **BT**

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